

thought the plus 400-basis point increase implied by the forward rate was probably exaggerated. Another contributing factor to expectations for higher rates was that interest rates are a mean reverting asset, and, historically, rates had been closer to 12 percent than 8 percent.

Okay, that was an example of a wide differential between spot and forward rates leading to an anomaly in option prices. What other types of anomalies do you look for?

Forward-looking assumptions based on backward-looking statistical correlations are another source of some interesting opportunities. In the aftermath of the 2008 financial crisis, a clear risk-on/risk-off paradigm emerged in the markets, and particularly the foreign exchange (FX) markets. If it was a risk-on environment, everybody piled into currencies with exposure to emerging markets and commodities, such as the Australian dollar. When it was a risk-off environment, everyone fled currencies like the Australian dollar and piled into safe-haven currencies, such as the Swiss franc. Before the 2008 financial crisis, the correlation between the Australian dollar and Swiss franc had ranged between modestly positive to modestly negative for many years—in other words, there was no strong relationship between the two. After the financial crisis, however, the Australian dollar and Swiss franc exhibited extreme inverse correlation because of the risk-on/risk-off psychology that dominated the markets. It got to the point where, if the Swiss franc was up sharply, you could be relatively sure that the Australian dollar would be down sharply and vice versa.

At the time, we happened to be looking for an efficient way of getting short the euro. Implied volatility on the euro puts was expensive. We cheapened the premium substantially by taking our exposure through a *worst of* option, which is an exotic option that is priced based on a correlation input in addition to the standard inputs for a vanilla option.

That's a new one for me. What is a *worst of* option?

In a *worst of* option, you pay a single premium for a basket of options. In the trade we did, there were puts on two crosses in the basket: euro versus Australian dollar (EUR/AUD) and euro versus Swiss franc (EUR/CHF). *Worst of* option structures are cheaper because the payout is